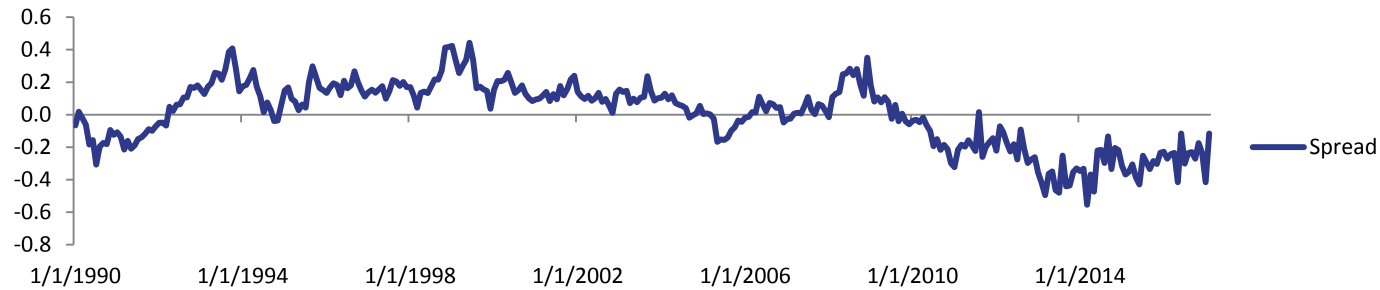
The Conventional WAC for a given month is defined as the weighted average of all FNCL and FGLMC pool issuance for that month.

The GNMA WAC for a given month is defined as the weighted average of all GNSF and G2SF pool issuance for that month.

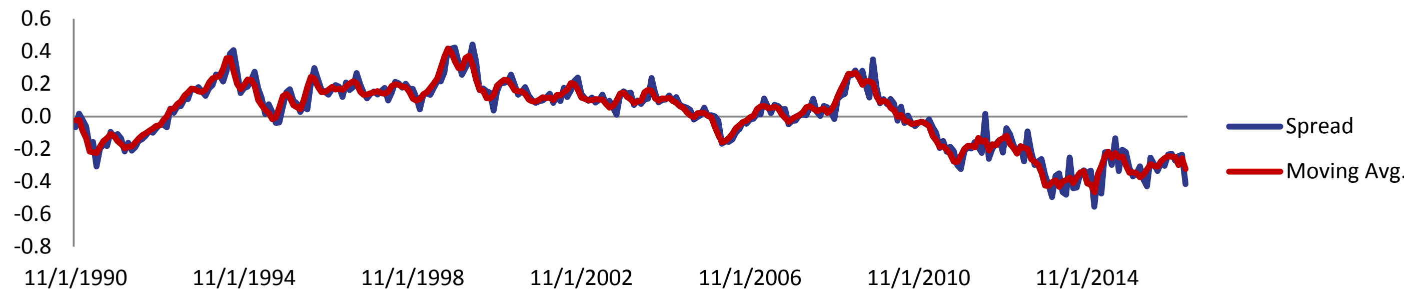
To ensure that we don't include seasoned loans, we only include pools that have WALA <= 1 month as of the issuance date.

The monthly WAC spread is defined to be the difference between the GNMA WAC and the Conventional WAC. This is smoothed using a 3-month moving average to forecast the GNMA mortgage rate as PMMS plus a WAC spread.

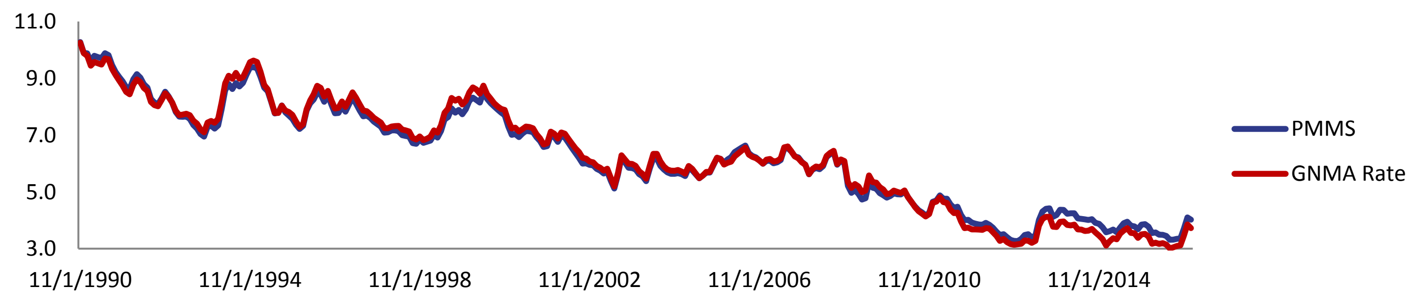
1 Get WAC spread as GNMA pools - FNMA+FHL pools



2 3-month moving average of WAC Spread



3 $GNMA\ Mortgage\ Rate = PMMS + WAC\ Spread_{3m\ Moving\ Average}$



Source: Cello